NON-JUDICIAL FORECLOSURE AND THE FAIR DEBT COLLECTION PRACTICES ACT AFTER *OBDUSKEY* VS. *MCCARTHY & HOLTHUS LLP*

ROBERT S. ROSING* & MONICA D. GONZALEZ**

I. INTRODUCTION

In 2019, consumer debt in the United States hit an all-time high, topping $4 trillion for the first time ever.[1] Approximately thirty-one percent of Americans have at least one debt in collections,[2] and roughly the same amount have been contacted by debt collectors in the past year.[3] Of those consumers contacted by debt collectors, over half report that they were contacted about a debt that was not theirs or was for the wrong amount,[4] and one in four consumers contacted by debt collectors felt threatened.[5] Unsurprisingly, the Federal Trade Commission (FTC) receives more

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* Robert S. Rosing, managing partner of Rosing Davidson Frost, Park City, Utah; J.D., Georgetown University Law Center; B.A., University of Chicago, and editor-in-chief, Georgetown International Environmental Law Review. Mr. Rosing was the co-founder and inaugural president of the Community Association Law Section of the Utah State Bar and the past president of the Utah chapter of the Community Associations Institute. Mr. Rosing is licensed in Utah, Florida, and Washington and his practice largely focuses on community association law.

** Monica D. Gonzalez, Associate Attorney, Rosing Davidson Frost, Park City, Utah; J.D., University of Utah S.J. Quinney College of Law; B.A., University of Kansas.

[1] Jessica Dickler, *Consumer Debt Hits $4 Trillion*, CNBC (Feb. 21, 2019, 8:28 AM), https://www.cnbc.com/2019/02/21/consumer-debt-hits-4-trillion.html [https://perma.cc/SN4R-UUZE].

[2] *Debt in America: An Interactive Map*, URB. INST. (Dec. 17, 2019), https://apps.urban.org/features/debt-interactive-map/?type=medical&variable=perc_debt_collect [https://perma.cc/2SAZ-SXS9].

[3] CONSUMER FIN. PROT. BUREAU, CONSUMER EXPERIENCES WITH DEBT COLLECTION: FINDINGS FROM THE CFPB'S SURVEY OF CONSUMER VIEWS ON DEBT 5 (2017).

[4] *Id.*

[5] *CFPB Survey Finds Over One-in-Four Consumers Contacted by Debt Collectors Feel Threatened*, CFPB (Jan. 12, 2017), https://www.consumerfinance.gov/about-us/newsroom/cfpb-survey-finds-over-one-four-consumers-contacted-debt-collectors-feel-threatened/ [https://perma.cc/2GFD-Y3MY].

complaints about debt collectors than any other industry.[6] As consumer debt rises and Covid-19 crashes through the economy,[7] consumer contact with debt collectors is sure to increase.

In 1977, Congress passed the Fair Debt Collection Practices Act (FDCPA).[8] The FDCPA was passed in response to "abundant evidence of the use of abusive, deceptive, and unfair debt collection practices by many debt collectors," practices that "contribute to the number of personal bankruptcies, to marital instability, to the loss of jobs, and to invasions of individual privacy."[9] The FDCPA was "designed to protect consumers who have been victimized by unscrupulous debt collectors, regardless of whether a valid debt actually exists."[10] The FDCPA prohibits debt collectors from using harassment or abuse,[11] false or misleading representations,[12] and unfair practices,[13] in order to collect a consumer debt. The FDCPA allows debtors who have been targeted by abusive debt collection practices to seek damages from the debt collector.[14]

In the decades since the FDCPA's passage, courts have grappled with the extent to which attorneys hired to help a creditor collect a debt are subject to the FDCPA's restrictions. While attorneys were initially excluded from the FDCPA's coverage, a subsequent amendment to the FDCPA left attorneys confused and worried about their potential liability under the act.[15]

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[6] *Debt Collection*, FED. TRADE COMMISSION, https://www.ftc.gov/news-events/media-resources/consumer-finance/debt-collection [https://perma.cc/X6G9-5FSM].

[7] *See* Reade Pickert et al., *U.S. Recession Model at 100% Confirms Downturn is Already Here*, BLOOMBERG (Apr. 8, 2020, 5:00 AM), https://www.bloomberg.com/graphics/us-economic-recession-tracker/ [https://perma.cc/QCK9-L56L]; Nina Trentmann, *CFOs Brace for Potential Recession in 2020*, WALL ST. J. (Dec. 11, 2019, 6:01 AM), https://www.wsj.com/articles/cfos-brace-for-potential-recession-in-2020-11576062060 [https://perma.cc/6YH6-K4B5]; Rob Isbitts, *Spread the News, Recession Likely Soon. Here's What to Watch For*, FORBES (Nov. 15, 2019, 10:54 AM), https://www.forbes.com/sites/robisbitts2/2019/11/15/spread-the-news-recession-likely-soon--heres-what-to-watch-for/#5a28e5c6765f [https://perma.cc/U44N-PVW4].

[8] Fair Debt Collection Practices Act, Pub. L. No. 95-109, 91 Stat. 874 (1977) (amended 1986).

[9] 15 U.S.C. § 1692(a) (2018).

[10] Baker v. G.C. Servs. Corp., 677 F.2d 775, 777 (9th Cir. 1982).

[11] *See* 15 U.S.C. § 1692d (2018).

[12] 15 U.S.C. § 1692e (2018).

[13] 15 U.S.C. § 1692f (2018).

[14] 15 U.S.C. § 1692k (2018).

[15] *See infra* Part II.

While the Supreme Court has weighed in on this issue a few times,[16] courts are still trying to figure out how the FDCPA's often unclear language creates a legal gray area with regard to attorneys hired by creditors to collect debts.

This Article explains the history of the FDCPA's applicability to attorneys and explores a large legal gray area in the FDCPA: non-judicial foreclosures. Section II examines the history of the FDCPA's applicability to attorneys through and immediately following the Supreme Court's decision in *Heintz v. Jenkins*. Section III discusses the treatment of foreclosures under the FDCPA and the Supreme Court's recent decision in *Obduskey v. McCarthy & Holthus LLP*. Section IV examines courts' treatment of judicial and non-judicial foreclosures following *Obduskey*. Finally, Section V argues that several recent decisions essentially ignore the holding of *Obduskey* and wrongly bring non-judicial foreclosures within the full coverage of the FDCPA.

II. HISTORY OF THE FDCPA'S APPLICABILITY TO ATTORNEYS

The FDCPA prohibits debt collectors from using abusive and deceptive practices in the collection of consumer debts.[17] The FDCPA defines a debt collector as "any person who uses any instrumentality of interstate commerce or the mails in any business the principal purpose of which is the collection of any debts, or who regularly collects or attempts to collect, directly or indirectly, debts owed or due or asserted to be owed or due another."[18] When it was first passed, the FDCPA specifically exempted from its definition of debt collector "any attorney-at-law collecting a debt as an attorney on behalf of and in the name of a client."[19] After the FDCPA's passage, attorneys and law firms used their FDCPA-exempt statuses to attract creditor clients, resulting in a greater number of lawyer than non-lawyer debt collectors engaging in debt collection activities.[20] As a result, in 1986 Congress voted to remove this exemption from the FDCPA.[21] After this amendment, practitioners were left unsure about whether they would be considered debt collectors under the FDCPA. This uncertainty was amplified by conflicting statements made after the amendment was

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[16] *See, e.g.*, Heintz v. Jenkins, 514 U.S. 291 (1995); Obduskey v. McCarthy & Holthus LLP, 139 S. Ct. 1029 (2019).

[17] 15 U.S.C. § 1692(e) (2018).

[18] 15 U.S.C. § 1692a(6) (2018).

[19] *Heintz*, 514 U.S. at 294; Fair Debt Collection Practices Act, Pub. L. No. 95-109, § 803(6)(F), 91 Stat. 874, 875 (1977) (amended 1986).

[20] Crossley v. Lieberman, 868 F.2d 566, 569 (3d Cir. 1989).

[21] *Heintz*, 514 U.S. at 294–95.

passed.[22] After the bill was passed the bill's sponsor, Representative Frank Annunzio, stated that the law would only apply to collection activities, not legal activities, and that the law would "not prevent creditors, through their attorneys, from pursuing any legal remedies available to them."[23] The Federal Trade Commission's commentary on the FDCPA stated "[a]ttorneys or law firms that engage in traditional debt collection activities (sending dunning letters, making collection calls to consumers) are covered by the [Act] but those whose practice is limited to legal activities are not covered."[24] This conflict between the text of the FDCPA and the statements by the FTC and Representative Annunzio led to widespread litigation over the FDCPA's applicability to law firms acting on behalf of creditor clients.

A. Pre-Heintz Treatment of Attorneys under the FDCPA

As more of these cases reached the circuit courts, a circuit split began to emerge. In 1989, three years after the amendment was passed, the Third Circuit held that the FDCPA applied to attorneys.[25] In making this determination, the court looked at the increase in attorneys engaging in debt collection activities as well as comments made by members of Congress during the floor debate regarding the law's applicability to attorneys.[26] Three years later, the Fourth Circuit also held that the FDCPA applied to attorneys but did so based on the plain language of the statute, declining to consider legislative history, the FTC commentary, or Representative Annunzio's statement.[27] The Sixth Circuit, however, held that the FDCPA did not apply to attorneys engaged in purely legal activities.[28] Unlike the other circuit courts to consider the issue, the Sixth Circuit relied on both the statement by Representative Annunzio and the FTC's commentary in reaching its decision.[29] The court also believed that interpreting the FDCPA to apply to attorneys engaged in legal activities related to debt collection would lead to absurd results and would usurp the court's discretion to order sanctions under Rule 11 of the Federal Rules of Civil Procedure.[30] Following the Sixth Circuit's decision, the Seventh and the Ninth Circuits

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[22] *See id.* at 297.

[23] *Id.*

[24] *Id.* at 298.

[25] *Crossley*, 868 F.2d at 569.

[26] *Id.*

[27] Scott v. Jones, 964 F.2d 314, 316–17 (4th Cir. 1992).

[28] Green v. Hocking, 9 F.3d 18, 21 (6th Cir. 1993).

[29] *Id.* at 21–22.

[30] *Id.* at 22.

both published decisions agreeing with the Fourth Circuit's interpretation of the FDCPA.[31]

B. Heintz v. Jenkins

This circuit split prompted the Supreme Court to step in. The Court granted certiorari to the case arising out of the Seventh Circuit, *Heintz v. Jenkins*.[32] In *Heintz*, the plaintiff defaulted on a car loan.[33] The creditor bank hired a law firm to sue the plaintiff to recover the debt.[34] The defendant, an attorney at the law firm, sent the plaintiff a letter listing the amount due under her loan agreement with the bank and included $4,173 for insurance purchased by the bank because she had not kept the car insured as required by the loan agreement.[35] The plaintiff then sued the defendant, claiming that this letter violated the FDCPA because the insurance cost was a misrepresentation under the act.[36] The district court dismissed the plaintiff's claim, holding that the FDCPA did not apply to lawyers engaging in litigation.[37] However, the Seventh Circuit Court of Appeals disagreed and reversed.[38]

In its decision, the Supreme Court acknowledged the differing positions adopted by the Sixth and the Seventh Circuits.[39] In deciding whether attorneys who collect debts through litigation are debt collectors under the FDCPA, the Court stated that the plain language of the FDCPA persuaded it to agree with the Seventh Circuit's position.[40] The Court stated that "[i]n ordinary English, a lawyer who regularly tries to obtain payment of consumer debts through legal proceedings is a lawyer who regularly 'attempts' to 'collect' those consumer debts."[41] The Court also found persuasive the fact that Congress had repealed the previous exemption without "creating a narrower, litigation-related exemption to fill the void".[42]

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[31] *See* Jenkins v. Heintz, 25 F.3d 536, 538–39 (7th Cir. 1994); Fox v. Citicorp Credit Servs., 15 F.3d 1507, 1512–13 (9th Cir. 1994).

[32] 514 U.S. 291 (1995).

[33] *Id.* at 293.

[34] *Id.*

[35] *Id.*

[36] *Id.*

[37] *Id.* at 294.

[38] *Id.*

[39] *Id.*

[40] *Id.*

[41] *Id.* (citing *Collect*, BLACK'S LAW DICTIONARY (6th ed. 1990)).

[42] *Id.* at 294–95.

The Court noted that, "[w]ithout more, then, one would think that Congress intended that lawyers be subject to the Act whenever they meet the general 'debt collector' definition."[43]

The Court also firmly rejected the petitioner's reliance on Representative Annunzio's statement and the FTC commentary, as they both conflicted with the plain language of the FDCPA.[44] The Court rejected Representative Annunzio's statement on several grounds. First, the Court noted that the language of the FDCPA was silent on an exemption for litigation activities and that "[t]he line the statement seeks to draw between 'legal' activities and 'debt collection' activities was not necessarily apparent to those who debated the legislation, for litigating, at first blush, seems simply one way of collecting a debt."[45] Second, the Court pointed out that Congressmen concerned about the application of the FDCPA to attorneys had proposed language that would have exempted litigation activities but that this language was not enacted.[46] Third, the Court emphasized that Representative Annunzio's statement was made *after* the amendment was passed and was therefore not something that other lawmakers had relied upon when casting their votes.[47] The Court swiftly rejected the FTC commentary, noting that the commentary is not binding and "falls outside the range of reasonable interpretations of the Act's express language."[48]

Finally, although the Court acknowledged that a certain reading of the FDCPA could lead to the "absurd" results warned of by the Sixth Circuit, the Court was ultimately not persuaded by this argument.[49] Specifically, the Court noted that many of the "anomalies" pointed out by the plaintiff "depend for their persuasive force upon readings that courts seem unlikely to endorse."[50] In acknowledging that certain plausible readings of the FDCPA could substantially interfere with attorneys' debt collection efforts, the Court stated that "we rest our conclusions upon the fact that it is easier to read [the Act] as containing some additional, implicit, exception than to believe that Congress intended, silently and implicitly, to create a far broader exception, for all litigating attorneys, from the Act itself."[51]

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[43] *Id.* at 295.

[44] *Id.* at 297–98.

[45] *Id.* at 297.

[46] *Id.* at 297–98.

[47] *Id.* at 298.

[48] *Id.*

[49] *Id.* at 295–97.

[50] *Id.* at 296.

[51] *Id.* at 296–97.

Ultimately, the Court held that the FDCPA "applies to attorneys who 'regularly' engage in consumer-debt-collection activity, even when that activity consists of litigation."[52]

C. When Does an Attorney "Regularly" Collect Debts?

The Supreme Court's decision in *Heintz* begged the question: when does an attorney "regularly" engage in debt collection? The FDCPA does not define the term "regularly" so the burden fell on the courts to determine what type of activity would place attorneys within the scope of the FDCPA. Courts have generally followed two basic approaches to this question.[53] The first approach, used by a minority of courts, is to look at the ratio of an attorney or firm's debt collection activities in relation to the attorney or firm's overall business as the determinative factor.[54] These courts have rejected or accepted a plaintiff's contention that the defendant is a debt collector based on the percentage of the attorney or firm's overall business that is comprised of debt collection activities.[55] Most courts, however, have determined that the 'regularity' analysis should focus on the frequency of an attorney or firm's debt collection activities rather than how much of an

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[52] *Id.* at 299.

[53] *See* Oppong v. First Union Mortg. Corp., 407 F. Supp. 2d 658, 661–62 (E.D. Pa. 2005), *aff'd in relevant part, vacated in part*, 215 F. App'x 114 (3d Cir. 2007).

[54] *See, e.g.*, Scott v. Jones, 964 F.2d 314, 316 (4th Cir. 1992) ("The 'regularity' is shown by the sheer volume of Jones' business. Jones filed approximately 4,000 warrants per year between 1983 and 1987, and while the number declined in recent years, the practice continued to constitute a significant portion of his business."); Schroyer v. Frankel, 197 F.3d 1170, 1176 (6th Cir. 1999) ("Drawing from this legislative history, we believe it reveals that for a court to find that an attorney or law firm 'regularly' collects debts for the purposes of the FDCPA, a plaintiff must show that the attorney or law firm collects debts as a matter of course for its clients or for some of its clients, *or collects debts as a substantial, but not principal, part of his or its general law practice*." (emphasis added)); Nance v. Petty, Livingston, Dawson, & Devening, 881 F. Supp. 223, 225 (W.D.Va. 1994) (finding that volume is the determinative factor in whether a person regularly collects debts).

[55] *See, e.g.*, *Schroyer*, 197 F.3d at 1176 (finding that the defendant did not regularly collect debts because only 7.4% of the defendant's practice consisted of debt collection); *Nance*, 881 F. Supp. at 225 (finding that the defendant did not regularly collect debts because debt collection made up only .61% of his practice and only 1.07% of his firm's practice); *Scott*, 964 F.2d at 316 (holding that the defendant was a debt collector where the "sheer volume" of defendant's debt collection activities, which made up 70% of its practice, satisfied the "regularly" prong).

attorney or firm's practice or revenues come from debt collection activities.[56]

Courts that have adopted this second approach have done so for several reasons. First, courts looked to the ordinary meaning of the word "regularly."[57] The word "regularly" means "[a]t fixed and certain intervals, regular in point in time. In accordance with some consistent or periodical rule or practice."[58] "The term 'regular' means 'usual, customary, normal or general . . . . Antonym of 'casual' or 'occasional.'"[59] Several courts also noted that "the word 'regular' is not synonymous with the word 'substantial,'"[60] finding no support in the plain language of the statute for the first approach to the "regularly" prong.

Second, courts looked at the definition of "debt collector" in the FDCPA and emphasized the distinction between the "principal purpose" prong and the "regularly" prong.[61] In *Garrett v. Derbes*, the court reasoned that "[c]learly, Congress must have intended the 'principal purpose' prong of § 1692a(6) to differ from the 'regularly' prong."[62] The court held that therefore:

> [A] person may regularly render debt collection services, even if these services are not a principal purpose of his business. Indeed, if the volume of a person's debt collection services is great enough, it is irrelevant that these services only amount to a small fraction of his total business activity; the person still renders them "regularly."[63]

Similarly, the court in *Goldstein v. Hutton, Ingram, Yuzek, Gainen, Carroll & Bertolotti*[64] stated that factors such as the percentage of resources devoted

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[56] *See, e.g.*, Garrett v. Derbes, 110 F.3d 317, 318 (5th Cir. 1997) (per curiam); Goldstein v. Hutton, Ingram, Yuzek, Gainen, Carroll & Bertolotti, 374 F.3d 56, 62–63 (2d Cir. 2004); *Oppong*, 407 F. Supp. 2d at 665–67; James v. Wadas, 724 F.3d 1312, 1317–18 (10th Cir. 2013).

[57] *See, e.g.*, *Wadas*, 724 F.3d at 1316; Keauhou Master Homeowners Ass'n v. Cty. of Hawai'i, 87 P.3d 883, 888 (Haw. 2004); *Oppong*, 407 F. Supp. 2d at 662.

[58] *Wadas*, 724 F.3d at 1316 (citing *Regularly*, BLACK'S LAW DICTIONARY (6th ed. 1990)).

[59] *Keauhou Master Homeowners Ass'n*, 87 P.3d at 888.

[60] *Id.* (quoting Stojanovski v. Strobl & Manoogian, P.C., 783 F. Supp. 319, 322 (E.D. Mich. 1992)).

[61] *See Garrett*, 110 F.3d at 318.

[62] *Id.*

[63] *Id.*

[64] 374 F.3d 56 (2d Cir. 2004).

to debt collection, the percentage of revenue generated from debt collection, and whether the firm marketed itself as a debt collection firm, "while not irrelevant to a regularity inquiry . . . are more pertinent to the first prong of the statutory debt collector definition—debt collection as principal business—than to the question of whether the entity engages regularly in debt collection."[65] Citing the Fifth Circuit's decision in *Garrett*, the *Goldstein* court stated that "[f]ocusing a regularity inquiry primarily on the proportion of overall work or firm revenue, a factor easily affected by the size and service pricing determinations of the law practice, blurs the distinction between the 'principal purpose' and 'regularity' aspects of the statutory definition of debt collector."[66]

While courts adopting this approach have declined to adopt a bright line rule regarding the regularity of debt collection activities, several courts have outlined factors to be used for determining whether someone regularly collects debts. Courts in the Fifth Circuit look at the following factors:

> [T]he number of lawsuits filed and collection letters mailed, the percentage of time debt collection activities consume, the share of total lawsuits filed that were dedicated to debt collection, the number of creditor clients and the length of the firm's relationship with them, the frequency and nature of the non-collection work in which the firm engages, and the number of firm attorneys and other employees dedicated to debt collection activities.[67]

Similarly, the Second Circuit in *Goldstein* outlined five factors "bearing on the issue of regularity" that courts should look at:

> (1) [T]he absolute number of debt collection communications issued, and/or collection-related litigation matters pursued, over the relevant period(s), (2) the frequency of such communications and/or litigation activity, including whether any patterns of such activity are discernable, (3) whether the entity has personnel specifically assigned to work on debt collection activity, (4) whether the entity has systems or contractors in place to

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[65] *Id.* at 61.

[66] *Id.*

[67] Kirkpatrick v. Dover & Fox, P.C., No. 4:13-cv-0123, 2013 U.S. Dist. LEXIS 150988, at *13–14 (S.D. Tex. Oct. 21, 2013); *see also* Reyes v. Steeg Law, LLC, 760 F. App'x 285, 287 (5th Cir. 2019).

> facilitate such activity, and (5) whether the activity is undertaken in connection with ongoing client relationships with entities that have retained the lawyer or firm to assist in the collection of outstanding consumer debt obligations.[68]

The Second Circuit also emphasized that:

> Facts relating to the role debt collection work plays in the practice as a whole should also be considered to the extent they bear on the question of regularity of debt collection activity (debt collection constituting 1% of the overall work or revenues of a very large entity may, for instance, suggest regularity, whereas such work constituting 1% of an individual lawyer's practice might not). Whether the law practice seeks debt collection business by marketing itself as having debt collection expertise may also be an indicator of the regularity of collection as a part of the practice.[69]

Subsequent decisions have continued to apply this second approach.[70] Accordingly, in order to determine whether a law firm "regularly" collects debts, courts will likely look to the frequency of its debt collection activities rather than the proportion of its revenues attributable to debt collection.

III. FDCPA AND FORECLOSURES

Recently, another part of the FDCPA's definition for the term "debt collector" has resulted in confusion and litigation. The FDCPA's definition of debt collector states that a debt collector is:

> [A]ny person who uses any instrumentality of interstate commerce or the mails in any business the principal purpose of which is the collection of any debts, or who regularly collects or attempts to collect, directly or indirectly, debts. . . . *For the purpose of section 1692f(6)* of this title, such term also includes any person who uses any instrumentality of interstate commerce or the mails in any

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[68] *Goldstein*, 374 F.3d at 62–63.

[69] *Id.* at 63.

[70] *See, e.g.*, Reese v. Ellis, Painter, Ratterree & Adams, LLP, 678 F.3d 1211, 1218 (11th Cir. 2012) (holding that where the complaint alleged that the defendant law firm had sent out over 500 "dunning notices" in the year prior filing, the facts were sufficient to support an inference that the defendant law firm "regularly" collected debts).

> business the principal purpose of which is the enforcement of security interests.[71]

This definition did not make clear whether a person whose principal business is the enforcement of security interests was a debt collector subject to all the restrictions of the FDCPA or whether such a person would not be considered a debt collector under any section of the FDCPA other than section 1692f(6).[72] While the Ninth and Tenth circuits held that a person whose principal business is the enforcement of security interests through non-judicial foreclosures is not a debt collector except for the purposes of section 1692f(6),[73] the majority of circuits that considered this issue reached the opposite conclusion.[74]

A. Pre-Obduskey Cases Holding that Foreclosures are Subject to the FDCPA

The circuit courts that held that enforcement of security interests falls within the scope of the FDCPA did so for four main reasons. First, courts looked to the definition of the term "foreclosure" and the way that the term "debt" is defined in the FDCPA to conclude that foreclosures are a type of debt collection under the FDCPA. The Sixth Circuit stated that the FDCPA's "focus on the underlying transaction indicates that whether an obligation is a 'debt' depends not on whether the obligation is secured, but rather upon the purpose for which it was incurred. Accordingly, a home loan is a 'debt' even if it is secured."[75] Looking to Black's Law Dictionary, the Second Circuit then stated that "if a purpose of an activity taken in relation to a debt is to 'obtain payment' of the debt, the activity is properly considered debt collection. Nothing in this approach prevents mortgage foreclosure activity from constituting debt collection under the Act."[76] Similarly, the Third Circuit stated that "[n]owhere does the FDCPA exclude

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[71] 15 U.S.C. § 1692a(6) (2018) (emphasis added).

[72] Obduskey v. McCarthy & Holthus LLP, 139 S. Ct. 1029, 1033 (2019).

[73] Obduskey v. Wells Fargo, 879 F.3d 1216, 1221–23 (10th Cir. 2018); Vien-Phuong Thi Ho v. Recontrust Co., N.A., 858 F.3d 568, 573–74 (9th Cir. 2016).

[74] *See, e.g.*, Kaymark v. Bank of Am., N.A., 783 F.3d 168, 179 (3d Cir. 2015), *abrogated by*, *Obduskey*, 139 S. Ct. at 1040; Glazer v. Chase Home Fin., LLC, 704 F.3d 453, 463 (6th Cir. 2013); Wilson v. Draper & Goldberg, PLLC, 443 F.3d 373, 378 (4th Cir. 2006).

[75] *Glazer*, 704 F.3d at 461 (citation omitted).

[76] *Id.*

foreclosure actions from its reach. On the contrary, foreclosure meets the broad definition of 'debt collection' under the FDCPA . . . ."[77]

Second, courts interpreted the second part of the "debt collector" definition to be explanatory rather than an exception. The Third Circuit stated that "[t]he portion of § 1692a(6) upon which [the defendant] relies is not among the six listed *exceptions* to the general definition. It is cast in terms of *inclusion* . . . ."[78] The Fourth Circuit agreed, stating that "this provision is not an exception to the definition of debt collector, it is an inclusion to the term debt collector."[79] Accordingly, these courts held that this provision of the "debt collector" definition applied "to those whose *only* role in the debt collection process is the enforcement of a security interest."[80] These courts further determined that those who send out communications to debtors in relation to enforcing a security interests place themselves into the general definition of debt collector.[81] Accordingly, these courts believed that this definition applied only to repossession agencies.[82] The Sixth Circuit stated that:

> Other than repossession agencies and their agents, we can think of no others whose *only* role in the collection process is the enforcement of security interests. A lawyer principally engaged in mortgage foreclosure does not meet this criteria, for he must communicate with the debtor regarding the debt during the foreclosure proceedings, regardless of whether the proceedings are judicial or non-judicial in nature.[83]

Therefore, these courts held this provision of § 1692a(6) served only to bring repossessors who do not send communications to debtors within the

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[77] *Kaymark*, 783 F.3d at 179 (citing an earlier Third Circuit decision that defined debt collection as "activity undertaken for the general purpose of inducing payment" (internal quotation marks omitted).

[78] Piper v. Portnoff Law Assocs., LTD., 396 F.3d 227, 236 (3d Cir. 2005).

[79] Wilson v. Draper & Goldberg, PLLC, 443 F.3d 373, 378 (4th Cir. 2006).

[80] *Id.*

[81] *See Piper*, 396 F.3d at 236; *Wilson*, 443 F.3d at 378

[82] *See Piper*, 396 F.3d at 236; *Wilson*, 443 F.3d at 378; Glazer v. Chase Home Fin., LLC, 704 F.3d 453, 464 (6th Cir. 2013).

[83] *Glazer*, 704 F.3d at 464.

coverage of § 1692f of the FDCPA rather than to exclude security interest enforcement from the rest of the FDCPA.[84]

Finally, these courts held that foreclosures are a type of debt collection under the FDCPA because they were concerned with creating a loophole in the Act. The Third Circuit held that "if a collector were able to avoid liability under the FDCPA simply by choosing to proceed *in rem* rather than *in personam*, it would undermine the purpose of the FDCPA."[85] The Fourth Circuit similarly concluded that finding that foreclosures were only subject to § 1692f of the FDCPA "would create an enormous loophole in the Act immunizing any debt from coverage if that debt happened to be secured by a real property interest and foreclosure proceedings were used to collect the debt."[86] The Sixth Circuit, citing both the Third and Fourth Circuit decisions, agreed.[87]

B. Pre-Obduskey Cases Holding that Non-Judicial Foreclosures are Not Subject to the Entire FDCPA

More recently, the Ninth and the Tenth Circuits disagreed with the Third, Fourth and Sixth Circuits' interpretation of the FDCPA. In *Vien-Phuong Thi Ho v. Recontrust Co., NA*,[88] the Ninth Circuit held that "actions taken to facilitate a non-judicial foreclosure . . . are not attempts to collect 'debt' as that term is defined by the FDCPA."[89] The court stated that because the FDCPA defines debt as "an obligation . . . of a consumer to pay money," that the defendant "would only be liable if it attempted to collect money from [the plaintiff]."[90] The court concluded that a foreclosure is not an attempt to collect a debt because:

> The object of a non-judicial foreclosure is to retake and resell the security, not to collect money from the borrower. California law does not allow for a deficiency judgment following non-judicial foreclosure. This means that the

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[84] *Id.* at 463 ("The third sentence in the definition . . . operates to *include* certain persons under the Act (though for a limited purpose); it does not *exclude* from the Act's coverage a method commonly used to collect a debt.").

[85] *Piper*, 396 F.3d at 236 (internal quotation marks omitted).

[86] *Wilson*, 443 F.3d at 376.

[87] *Glazer*, 704 F.3d at 464.

[88] 858 F.3d 568 (9th Cir. 2016).

[89] *Id.* at 572.

[90] *Id.* at 571.

> foreclosure extinguishes the entire debt even if it results in a recovery of less than the amount of the debt.[91]

While "[t]he prospect of having property repossessed may, of course, be an inducement to pay off a debt . . . that inducement exists by virtue of the lien, regardless of whether foreclosure proceedings actually commence."[92] Therefore, the court reasoned, since money is being collected from the purchaser of the home, not the debtor, a non-judicial foreclosure is not an attempt to collect a debt.[93] The court also rejected the reasoning of the majority of circuits that the third sentence of § 1692a(6) is meant to be inclusive rather than exclusive.[94] The court stated that:

> This provision would be superfluous if all entities that enforce security interests were already included in the definition of debt collector for purposes of the FDCPA . . . . [T]he relationship between sections 1692a(6) and 1692f(6) makes sense if some security enforcers are debt collectors only for the limited purposes of section 1692f(6).[95]

The court also firmly rejected the Third, Fourth, and Sixth circuits' determination that sending a communication regarding a non-judicial foreclosure makes someone a debt collector under the FDCPA.[96] The court noted that under California's non-judicial foreclosure statute, a notice of default and a notice of sale are required.[97] Thus, "[t]he right to 'enforce' the security interest necessarily implies the right to send required notices; to hold otherwise would divorce the notices from their context."[98] Finally, the court noted that the interpretation adopted by the other circuits would create a conflict with the state's non-judicial foreclosure law.[99]

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[91] *Id.* at 571–72.

[92] *Id.* at 572.

[93] *Id.* ("[T]he FDCPA defines debt as an 'obligation of a *consumer* to pay money.' Following a trustee's sale, the trustee collects money from the home's purchaser, not from the original borrower. Because the money collected from a trustee's sale is not money owed by a consumer, it isn't 'debt' as defined by the FDCPA." (citations omitted)).

[94] *Id.* at 572–73.

[95] *Id.* at 573.

[96] *Id.* at 573–74.

[97] *Id.* at 573.

[98] *Id.*

[99] *Id.* at 576.

The following year, the Tenth Circuit followed the Ninth Circuit's lead. In *Obduskey v. Wells Fargo*,[100] the court adopted the Ninth Circuit's view that the enforcement of a security interest is not an attempt to collect a debt, holding that "[e]ntities engaged in non-judicial foreclosure actions in Colorado are not debt collectors under the FDCPA."[101] The court emphasized the distinction between judicial and non-judicial foreclosures, stating that "[t]here is an obvious and critical difference between judicial and non-judicial foreclosures—'[a] non-judicial foreclosure differs from a judicial foreclosure in that the sale does not preserve to the trustee the right to collect any deficiency in the loan amount personally against the mortgagor.'"[102] Therefore, "[w]hile judicial mortgage foreclosures may be covered under the FDCPA because of the underlying deficiency judgment, a non-judicial foreclosure proceeding is not covered because it only allows 'the trustee to obtain proceeds from the sale of the foreclosed property, and no more.'"[103] Like the Ninth Circuit, the court found that "[i]f the FDCPA applied to non-judicial foreclosure proceedings in Colorado, it would conflict with Colorado mortgage foreclosure law."[104] The court also dismissed the Third and Fourth Circuits' concern about creating a loophole that would "immunize debt secured by real property where foreclosure was used to collect the debt,"[105] stating:

> This proves too much. First, our holding is limited to non-judicial foreclosure proceedings and does not include judicial foreclosure actions. Second, our holding is limited to the facts of the case. Whether or not more aggressive collection efforts leveraging the threat of foreclosure into the payment of money constitute 'debt collection' is left for another day.[106]

Thus, the court held that the defendant's "mere act of enforcing a security interest through a non-judicial foreclosure proceeding does not fall under the FDCPA."[107]

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[100] 879 F.3d 1216 (10th Cir. 2018).

[101] *Id.* at 1221.

[102] *Id.* (quoting Burnett v. Mortg. Elec. Registration Sys., Inc., 706 F.3d 1231, 1239 (10th Cir. 2013)).

[103] *Id.* at 1221–22 (citations omitted) (quoting *Burnett*, 706 F.3d at 1239).

[104] *Id.* at 1222.

[105] *Id.* at 1223.

[106] *Id.*

[107] *Id.*

C. Obduskey v. McCarthy & Holthus LLP

The Tenth Circuit's decision in *Obduskey* was appealed to the Supreme Court and oral arguments were heard earlier this year. *Obduskey v. McCarthy & Holthus LLP*,[108] involved a law firm, McCarthy & Holthus, hired by Wells Fargo to carry out a non-judicial foreclosure against Obduskey, who was in default on his home loan.[109] McCarthy sent Obduskey a letter notifying him that the firm had been instructed to commence foreclosure proceedings.[110] Obduskey then attempted to invoke Section 1692g(b) of the FDCPA, which requires a debt collector to immediately cease all debt collection activities if the debtor disputes the amount of the debt.[111] McCarthy did not comply with this provision of the FDCPA and continued with the state's non-judicial foreclosure proceedings.[112] Obduskey then sued McCarthy for violations of the FDCPA.[113] The district court dismissed the case on the grounds that McCarthy was not a debt collector under the FDCPA and the Tenth Circuit affirmed.[114] The Supreme Court affirmed the Tenth Circuit's decision, stating that:

> [T]he last sentence [of the definition of debt collector] does (with its § 1692f(6) exception) place those whose 'principal purpose . . . is the enforcement of security interests' outside the scope of the primary 'debt collector' definition, § 1692a(6), where the business is engaged in no more than the kind of security-interest enforcement at issue here—nonjudicial foreclosure proceedings.[115]

The Court stated that there were three strong reasons supporting its holding.[116] First, the Court pointed to the text of the FDCPA stating that if Congress had intended that a person who does nothing more than enforce a security interest in the general definition of debt collector, then it would not have included the limited-purpose definition; in other words, Obduskey's

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[108] 139 S. Ct. 1029 (2019).

[109] *Id.* at 1035.

[110] *Id.*

[111] *Id.*

[112] *Id.*

[113] *Id.*

[114] *Id.*

[115] *Id.* at 1033.

[116] *Id.* at 1036.

proffered interpretation of the FDCPA would render the last sentence of the definition superfluous.[117] Second, the Court suggested that Congress may have created this limited-purpose definition in order to prevent the FDCPA from interfering with state nonjudicial foreclosure schemes.[118] Finally, the Court noted that the legislative history supported its interpretation.[119] During the drafting process, Congress had considered a version of the bill that included people who enforce security interests in the primary definition of debt collector as well as a version that completely excluded any person who enforces a security interest from the FDCPA's coverage but had apparently settled on the current limited-purpose definition as a compromise.[120] Therefore, a person who is engaged in the enforcement of security interests through nonjudicial foreclosure needs to comply only with Section 1692f(6) of the FDCPA. However, the Court made clear that its decision applied only to those engaged in nonjudicial foreclosures, purposefully leaving open the question of whether judicial foreclosures fall under the primary or limited-purpose definition.[121] Since McCarthy had engaged only in the steps required by the state's nonjudicial foreclosure laws, the Court also declined to consider whether conduct related to, but not required for, nonjudicial foreclosures could transform a person from an enforcer of security interests into a debt collector subject to all provisions of the FDCPA.[122] However, Justice Sotomayor noted in her concurrence that:

> I would see as a different case one in which the defendant went around frightening homeowners with the threat of foreclosure without showing any meaningful intention of ever actually following through. There would be a question, in such a case, whether such an entity was in fact a "business the principal purpose of which is the enforcement of security interests," or whether it was simply using that label as a stalking horse for something else.[123]

The Court's decision and Sotomayor's concurrence left the lower courts to grapple with what type of activity, if any, would be sufficient to place a security-interest enforcer within the purview of the entire FDCPA.

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[117] *Id.* at 1036–37.

[118] *Id.* at 1037.

[119] *Id.*

[120] *Id.* at 1037–38.

[121] *Id.* at 1039.

[122] *Id.*

[123] *Id.* at 1041 (Sotomayor, J., concurring) (citation omitted).

IV. FORECLOSURES AFTER *OBDUSKEY*

The Supreme Court's decision in *Obduskey* left two important issues undecided. First, whether any conduct not required by state nonjudicial foreclosure laws would make someone a debt collector for all purposes and second, whether a person pursuing a *judicial* foreclosure is a debt collector under the FDCPA. Since *Obudskey* was published, several federal courts have begun to consider these issues.

A. Judicial Foreclosures

The *Obduskey* Court declined to decide whether its decision was applicable to judicial foreclosures.[124] This has left the lower courts to determine how judicial foreclosures should be treated under the FDCPA. In the year since *Obduskey* was decided, most courts who have considered the applicability of the FDCPA to judicial foreclosures have determined that *Obduskey* does not apply to judicial foreclosures.[125] In so doing, courts have been guided by *Oduskey*'s approving reference to the Tenth Circuit's discussion of judicial foreclosures in *Obduskey v. Wells Fargo*,[126] which stated that "[t]here is an obvious and critical difference between judicial and non-judicial foreclosures—'[a] non-judicial foreclosure differs from a judicial foreclosure in that the sale does not preserve to the trustee the right to collect any deficiency in the loan amount personally against the mortgagor.'"[127] Thus, where a judicial foreclosure is used as the mechanism for enforcing a security interest and a deficiency judgment against the debtor

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[124] *See id.* at 1039 ("And whether those who judicially enforce mortgages fall within the scope of the primary definition is a question we can leave for another day.").

[125] *See, e.g.*, Brown v. Wells Fargo Bank, N.A., No. C19-3041-LTS, 2020 U.S. Dist. LEXIS 3614, at *12 (N.D. Iowa Jan. 7, 2020) (stating that "[m]any courts have declined to extend *Obduskey* to judicial foreclosures"); Lloyd v. Pluese, Becker & Saltzman, LLC, No. 18-9420, 2019 U.S. Dist. LEXIS 199214, at *4–5 (D.N.J. Nov. 18, 2019) ("[T]he few courts to have considered *Obduskey* in the eight months since it was decided have read the decision narrowly, and have specifically distinguished judicial foreclosures from nonjudicial foreclosures."); Bronstein v. Bayview Loan Servicing, LLC, No. 18-4223, 2020 U.S. Dist. LEXIS 23865, at *14 (E.D. Pa. Feb. 11, 2020) ("[T]he Court declines to extend *Obduskey*'s holding to Pennsylvania's judicial foreclosure system given its express limitation to apply only to nonjudicial foreclosures. . . . This decision aligns with the understanding of other district courts in this Circuit, as well as the decisions of the district courts in other Circuits.").

[126] 879 F.3d 1216, 1221–22 (10th Cir. 2018).

[127] *Id.* at 1221 (quoting Burnett v. Mortg. Elec. Registration Sys., Inc., 706 F.3d 1231, 1239 (10th Cir. 2013)).

is available, then the person executing the judicial foreclosure is considered a "debt collector" under the FDCPA.[128] At least one court has held that this is true even where the right to seek a deficiency judgment has been waived by contractual agreement between the parties.[129] Accordingly, the *availability* of a deficiency judgment in judicial foreclosures has been the determinative factor in courts' analyses of judicial foreclosures since *Obduskey*.[130]

Based on these recent decisions, it is highly likely that, after *Obduskey*, attorneys engaged in judicial foreclosures will be subject to the full weight of the FDCPA.

B. Non-Judicial Foreclosures & "Debt Collector"

Following the Supreme Court's decision in *Obduskey*, several courts have decided that people who do not strictly adhere to the state's non-judicial foreclosure laws take themselves out of the secondary definition of debt collector, subject only to § 1692f, and into the primary definition of debt collector, subject to the entire FDCPA.

One of the first cases considering this issue was *Eastman v. NPL Capital, LLC*.[131] Plaintiff Jason Eastman brought suit against NPL Capital alleging that NPL Capital "threatened foreclosure in an attempt to collect an inflated debt" and contacted his parents, also plaintiffs in the case, in its attempts to collect the debt.[132] The court stated that "it is unclear . . . which of NPL's alleged actions were good faith efforts to pursue a nonjudicial foreclosure under Colorado state law."[133] While the court opined that it was "doubtful that repeated phone calls and communications with a homeowner's parents are required to pursue a nonjudicial foreclosure under

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[128] *Id.* at 1221–22.

[129] *See Brown*, 2020 U.S. Dist. LEXIS 3614, at *14–15. *But see* Boyd v. J.E. Robert Co., No. 05-CV-2455, 2012 U.S. Dist. LEXIS 142688, at *57–61 (E.D.N.Y. Oct. 2, 2012) (deciding, in a pre-*Obduskey* opinion, that the defendant was not a "debt collector" under the FDCPA because, while a deficiency judgment was available to them under New York's judicial foreclosure law, the defendant did not seek one).

[130] *See, e.g.*, *Lloyd*, 2019 U.S. Dist. LEXIS 199214, at *5–6 ("Judicial foreclosures are meaningfully distinguishable from nonjudicial foreclosures in a manner that is inconsistent with extending *Obduskey*'s reasoning to the judicial foreclosure context . . . . [T]he critical distinction . . . is the availability of a deficiency judgment against the debtor in judicial foreclosures; a remedy which is typically not available in nonjudicial foreclosures.).

[131] *See* No. 17-cv-03074-RBJ, 2019 U.S. Dist. LEXIS 63823 (D. Colo. Apr. 15, 2019).

[132] *Id.* at *6.

[133] *Id.*

Colorado state law,"[134] the court nonetheless determined that "without more detail as to the nature of NPL's communications with Mr. Eastman's parents, I cannot plausibly infer that NPL's conduct 'related to, but not required for, enforcement of a security interest,' was *sufficient and pervasive enough* to push NPL into the realm of a debt collector."[135] Accordingly, the court refused to issue a final judgment and allowed the plaintiff to amend its complaint with more details about "how actions undertaken by NPL were either *abusive or unnecessary* to the nonjudicial foreclosure process."[136]

In *Cooke v. Carrington Mortgage Services*,[137] the plaintiff brought suit against Carrington Mortgage Services after the loan servicer and its law firm sent her several notices and letters regarding her mortgage.[138] Carrington argued that, under *Obduskey*, it was not a debt collector subject to the entire FDCPA.[139] The Court disagreed, stating that:

> Cooke asserts FDCPA claims against Carrington for a variety of conduct *beyond standard procedures in a nonjudicial foreclosure*, including contradicting her right to dispute the debt, collecting or threatening to collect an inflated mortgage reinstatement amount, threatening to foreclose on her property before it was permitted by law, and misrepresenting its compliance with the terms of the deed of trust. *Carrington has not identified any provision of Maryland law that required this conduct to enforce its security interest*, and this Court is aware of none.[140]

Accordingly, the court held that Carrington was not shielded by the Supreme Court's holding in *Obduskey*.[141]

In *Sevela v. Kozeny & McCubbin, L.C.*,[142] the law firm of Kozeny & McCubbin sent the plaintiff a letter regarding a non-judicial foreclosure related to the plaintiff's mortgage.[143] The letter stated that "[u]nless within 30 days after you receive this notice you dispute the validity of the debt or a

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[134] *Id.* at *6–7.

[135] *Id.* at *7 (emphasis added) (citation omitted).

[136] *Id.* at *8 (emphasis added).

[137] No. TDC-18-0205, 2018 U.S. Dist. LEXIS 204730 (D. Md. Dec. 3, 2018).

[138] *Id.* at *1–4.

[139] *Id.* at *5–6.

[140] *Id.* at *6–7 (emphasis added).

[141] *Id.* at *7.

[142] No. 8:18CV390, 2019 U.S. Dist. LEXIS 80890 (D. Neb. May 2, 2019).

[143] *Id.* at *2.

portion thereof, *the debt will be assumed to be valid*."[144] The letter failed to mention that the debt would only be assumed to be valid *by the debt collector*.[145] The plaintiff brought suit against the law firm alleging that this omission violated the FDCPA.[146] Kozeny & McCubbin argued that the plaintiff's claim should be dismissed because the FDCPA does not apply to non-judicial foreclosures.[147] In response, the plaintiff argued that "the letter was debt collection outside the nonjudicial foreclosure process" and therefore the law firm had put itself within the bounds of the FDCPA.[148]

The court sided with the plaintiff, stating that "K&M was acting as a debt collector because the Letter was not required by Nebraska nonjudicial foreclosure law and went beyond providing FDCPA disclosures by misstating who could assume the debt valid if not disputed within thirty days."[149] The court determined that Kozeny & McCubbin was not required by state nonjudicial foreclosure law to send the letter.[150] In response to the firm's argument that the letter was an attempt to comply with the FDCPA while the issue of its application to nonjudicial foreclosures was being considered by the Supreme Court, the court noted that "[h]ad K&M done no more than send the required [FDCPA] disclosures, *this alone may have been insufficient to bring it within the reach of the FDCPA*. However, K&M's Letter misstated the required disclosure, *and this misleading statement transformed K&M into a debt collector*."[151] Thus, while the Court found that Kozeny & McCubbin's misleading letter transformed it into a debt collector, it stopped short of concluding that any failure to strictly adhere to a state's nonjudicial foreclosure laws would lead to the same result.

While both the courts in *Sevela* and *Cooke* found that taking action beyond what was required by a state's nonjudicial foreclosure laws combined with incorrect and misleading information was sufficient to transform a security interest enforcer into a debt collector, some courts have taken this a step further. At least two courts have decided that strict

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[144] *Id.* (emphasis added).

[145] *Id.* at *4.

[146] *Id.* at *4–5.

[147] *Id.* at *5–6.

[148] *Id.* at *6.

[149] *Id.* at *9–10.

[150] *Id.* at *12.

[151] *Id.* at *13 (emphasis added).

adherence to a state's nonjudicial foreclosure laws is required to remain within the limited purpose definition of "debt collector" of the FDCPA.[152]

In *Gagnon v. Hal P. Gazaway & Assocs., LLC*,[153] the law firm hired by the plaintiff's condominium association sent the plaintiff a letter informing her that she was delinquent on monthly and special assessments, and that foreclosure proceedings would commence if she did not pay the amount due within thirty days.[154] The plaintiff brought suit alleging various violations of the FDCPA.[155] The defendant law firm argued that because it was attempting to commence nonjudicial foreclosure proceedings that it was not a debt collector subject to the entirety of the FDCPA.[156] The Court ruled against the defendant law firm, stating that Alaska law:

> [R]equires the entity seeking foreclosure to record a detailed notice in the appropriate recording district and then to mail a copy of the detailed notice to specified persons including the debtor. There is nothing in the Alaska statutory scheme which mentions, much less requires, a letter to be sent to the debtor.[157]

While the plaintiff had alleged that the defendant had included false or misleading statements in its letter to her, the court did not even mention this in deciding that the law firm was a debt collector for all purposes under the FDCPA.[158] The Court stated that "[t]he *Obduskey* opinion makes clear that the requirement of state law was central to its holding that the letter at issue there did not subject the law firm to the full range of the FDCPA."[159]

Finally, in *Hullett v. Plunkett Cooney, P.C.*,[160] the defendant law firm was sued after sending the plaintiff three letters regarding his default on a

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[152] *See generally* Gagnon v. Hal P. Gazaway & Assocs., LLC, No. 3:19-cv-178 JWS, 2019 U.S. Dist. LEXIS 159684 (D. Alaska Sept. 19, 2019); Hullett v. Plunkett Cooney P.C., No. 1:18-cv-1441, 2020 U.S. Dist. LEXIS 81067 (W.D. Mich. Mar. 16, 2020).

[153] No. 3:19-cv-178 JWS, 2019 U.S. Dist. LEXIS 159684 (D. Alaska Sept. 19, 2019).

[154] *Id.* at *1–2.

[155] *Id.* at *2.

[156] *Id.* at *5.

[157] *Id.* at *5–6.

[158] *Id.* at *5–7 (noting that the defendant had asked the Court to stay the proceedings until the resolution of a state court case involving the same parties to determine whether a condominium association has the right to seek nonjudicial foreclosure of a lien for common expenses and whether claiming that it could do so was false or misleading under state law).

[159] *Id.* at *6.

[160] No. 1:18-cv-1441, 2020 U.S. Dist. LEXIS 81067 (W.D. Mich. Mar. 16, 2020).

balloon note executed to refinance his home.[161] As in the previous cases, the defendant law firm moved to dismiss the case on the basis that it was not a debt collector under the FDCPA.[162] The Court declined to grant the defendant's Motion to Dismiss.[163] The Court found that even though all three letters sent by the defendant were required by the loan documents between the parties, they were not required by the state's nonjudicial foreclosure laws.[164] The Court stated that "*Obduskey* simply does not stand for the broader proposition that a defendant operates outside the general provisions of the FDCPA when its activity is required by contract, as opposed to 'required by state law.'"[165]

V. HOW COURTS ARE GETTING *OBDUSKEY* WRONG AND HOW THEY CAN FIX IT

The Supreme Court's decision in *Obduskey* to "not consider what *other* conduct (related to, but not required for, enforcement of a security interest) might transform a security-interest enforcer into a debt collector" has left lower courts to guess at the Supreme Court's intent.[166] This has led to essentially two interpretations. The first, heralded by *Sevela* and *Cooke*, is that a person transforms from a security interest enforcer into a debt collector by taking action that is not required by a state's nonjudicial foreclosure law and that action contains some violation of the FDCPA.[167] The second, set forth by *Gagnon* and *Hullett*, is that simply taking any action not required by a state's nonjudicial foreclosure laws, regardless of whether that action would amount to a violation of the FDCPA, transforms a security interest enforcer into a debt collector subject to the entire FDCPA.[168]

These courts have relied heavily on the following language from *Obduskey* stating that "given here that we confront *only the steps required by state law*, we need not consider what *other* conduct (related to, but not required for, enforcement of a security interest) might transform a security-interest enforcer into a debt collector subject to the main coverage of the Act."[169] These lower courts have decided that the *Obduskey*

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[161] *Id.* at *1–2.

[162] *Id.* at *8.

[163] *Id.* at *15.

[164] *Id.* at *12–15.

[165] *Id.* at *14.

[166] Obduskey v. McCarthy & Holthus LLP, 139 S. Ct. 1029, 1040 (2019).

[167] *See supra* Section IV.B.

[168] *See supra* Section IV.B.

[169] *Obduskey*, 139 S. Ct. at 1040.

defendant's adherence to state nonjudicial foreclosure law was "central to its holding"[170] and that *Obduskey*'s holding should be construed narrowly.[171] These courts have also found that "Justice Sotomayor's concurring opinion gives further emphasis to the significance of the fact that the letter was required by state law."[172]

Yet in reaching their conclusions, these courts have chosen to ignore not only the holding of the *Obduskey* opinion, but also the Court's rationale for including the language regarding adherence to state law in the first place. This overemphasis on strict adherence to state law has resulted in extreme and absurd decisions that will have far-reaching implications for the legal profession if courts are allowed to propound this interpretation unchecked.

A. The Misinterpretation and Misapplication of Obduskey

The majority opinion in *Obduskey* makes clear that its "[f]irst and *most decisive* [consideration] is the text of the Act itself."[173] In fact, the defendant's strict adherence to steps required by state foreclosure law is not one of the three considerations the Court says led it to its conclusion.[174] While the Court does hold that the FDCPA "exempts entities engaged in *no more than the 'enforcement of security interests*' from the lion's share of its prohibitions,"[175] the Court specifically declined to determine "what *other* conduct . . . *might* transform a security-interest enforcer into a debt collector subject to the main coverage" of the FDCPA.[176] This was because the Court assumed that all the steps taken by the defendant, which the plaintiff argued constituted more than security-interest enforcement, were required by the state's nonjudicial foreclosure laws.[177] The lower courts have taken hold of this section of *Obduskey* and run with it. In so doing, they have made a deliberate decision to completely ignore the context of both the majority and concurring opinions as well as the purpose and spirit of the FDCPA.

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[170] Gagnon v. Hal P. Gazaway & Assocs., LLC, No. 3:19-cv-178 JWS, 2019 U.S. Dist. LEXIS 159684, at *6 (D. Alaska Sept. 19, 2019).

[171] *See* Hullett v. Plunkett Cooney P.C., No. 1:18-cv-1441, 2020 U.S. Dist. LEXIS 81067, at *10–11 (W.D. Mich. Mar. 16, 2020).

[172] *Gagnon*, 2019 U.S. Dist. LEXIS 159684, at *6.

[173] *Obduskey*, 139 S. Ct. at 1036 (emphasis added).

[174] *Id.* at 1036–38 (stating that the three considerations leading to its conclusion were the plain text of the FDCPA, that Congress may have decided to treat security enforcement differently to avoid conflicts with state law, and the legislative history of the FDCPA).

[175] *Id.* at 1040 (emphasis added).

[176] *Id.* (second emphasis added).

[177] *Id.* at 1037.

The context of the language regarding the defendant's adherence to state law is critical to understanding why the Court even mentions this issue. This issue is only addressed by the majority in Section 3 of the opinion.[178] This section rebuts the plaintiff's arguments in favor of considering the defendant to be a debt collector under the FDCPA.[179] The plaintiff argued that the defendant should be considered a "debt collector" because it had engaged in more than security interest enforcement by "sending notices that any ordinary homeowner would understand as an attempt to collect a debt backed up by the threat of foreclosure."[180] The Court disagreed, stating that "because he who wills the ends must will the necessary means, we think the Act's (partial) exclusion of 'the enforcement of security interests' must also exclude the legal means required to do so."[181] However, the Court noted that "[t]his is not to suggest that pursuing nonjudicial foreclosure is a license to engage in *abusive debt collection practices* like repetitive nighttime phone calls; enforcing a security interest does not grant an actor blanket immunity from the Act."[182] This sentence directly precedes the Court's language regarding the "*other* conduct" that might place a security interest enforcer within the purview of the entire FDCPA.[183] This makes clear that the "*other* conduct" that the Court was concerned with was the types of abusive debt collection practices that the FDCPA was enacted to prevent, not, as several lower courts have determined, sending a letter that is neither required nor prohibited by state nonjudicial foreclosure law.

There is another sentence from this same section in the Supreme Court's opinion that has also been used by lower courts to support their interpretations of *Obduskey*. The Court stated that "because he who wills the ends must will the necessary means, we think the Act's (partial) exclusion of 'the enforcement of security interests' must also exclude the *legal means required* to do so."[184] Lower courts have interpreted this to mean that the secondary definition in the FDCPA only excludes those who enforce a security interest by only those means required by state law.[185]

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[178] *Id.* at 1038–40.

[179] *Id.*

[180] *Id.* at 1039.

[181] *Id.*

[182] *Id.* at 1039–40 (emphasis added).

[183] *Id.*

[184] *Id.* at 1039 (emphasis added).

[185] *See, e.g.*, Cooke v. Carrington Mortg. Servs., No. TDC-18-0205, 2019 U.S. Dist. LEXIS 120248, at *6–7 (D. Md. July 18, 2019) (citing this portion of the *Obduskey* opinion

(*continued*)

While this interpretation is by no means unreasonable, the more logical interpretation of this sentence is that the FDCPA exempts from the majority of its provisions those actions necessary to undertake a nonjudicial foreclosure that are legally permissible. This encapsulates both those actions that are required by law and those that are not required but are also not prohibited by law. This interpretation would avoid the absurd results created by *Hullett*. The *Hullett* court's reliance on strict compliance with state nonjudicial foreclosure law essentially created a catch-22 for security interest enforcers in Michigan. Under *Hullett*, if a security interest enforcer seeks to strictly comply with state nonjudicial foreclosure laws in order to avoid liability under the FDCPA, they may be in breach of contract.[186] However, if they seek to comply with the terms of an applicable contract, such as restrictive covenants or loan agreements, they may then be in violation of the FDCPA. This allows a consumer who agreed, by contract, to receive notices not required by law to nonetheless extract monetary damages from the other party as a penalty for complying with that contract. The Supreme Court could not have intended such an absurd result.

Unfortunately, Justice Sotomayor's concurrence has only served to further confuse the issues. Justice Sotomayor states that she concurs "[b]ecause the Court rightly cabins its holding to the kinds of *good-faith actions* presented here."[187] This supports the majority's position that its holding does not give entities pursuing nonjudicial foreclosures permission to engage in abusive practices. However, Justice Sotomayor's concurrence also mischaracterizes the majority's opinion and disregards the text of the FDCPA. Justice Sotomayor states that "the Court's opinion recognizes that the question before us involves 'no more than the kind of security interest enforcement at issue here,' which means an entity that takes 'only steps required by state law.'"[188] However, the Court stated specifically that "but for § 1692f(6), those who engage in *only nonjudicial foreclosure proceedings* are not debt collectors within the meaning of the Act."[189] The Court does not state that its holding only applies to "an entity that takes 'only

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in support of its statement that "[t]he Supreme Court's holding in *Obduskey* extends only to security-interest enforcers engaged in nonjudicial foreclosure proceedings in a manner required by state law").

[186] *See* Hullett v. Plunkett Cooney P.C., No. 1:18-cv-1441, 2020 U.S. Dist. LEXIS 81067, at *13–14 (W.D. Mich. Mar. 16, 2020).

[187] *Obduskey*, 139 S. Ct. at 1041 (Sotomayor, J., concurring) (emphasis added).

[188] *Id.* (citation omitted).

[189] *Id.* at 1038 (emphasis added).

steps required by state law.'"[190] Rather, the Court states that since it assumes that the defendant took "only steps required by state law," it does not need to reach the question of whether conduct not required by state law would transform an entity into a debt collector subject to the entire FDCPA.[191] This mischaracterization has been seized upon by lower courts in order to subject any entity that takes even an innocuous action that is not required by a state's nonjudicial foreclosure law to the entirety of the FDCPA.[192]

Moreover, Justice Sotomayor's concurrence disregards the language of § 1692f(6). In her concurrence, Justice Sotomayor stated that "I would see as a different case one in which the defendant went around frightening homeowners with the threat of foreclosure *without showing any meaningful intention of ever actually following through*."[193] In such a case, Justice Sotomayor noted that "[t]here would be a question . . . whether such an entity was in fact a 'business the principal purpose of which is the enforcement of security interests,' or whether it was simply using that label as a stalking horse for something else."[194] However, § 1692f(6), the section that applies to those entities engaged in nonjudicial foreclosures, states that it is a violation of the FDCPA for an entity to "tak[e] or threaten[] to take any nonjudicial action to effect dispossession or disablement of property if . . . (B) *there is no present intention to take possession of the property* . . . ."[195] It is already a violation of the FDCPA to threaten a consumer with nonjudicial foreclosure with no intention of following through.[196] An action that is already prohibited by the applicable section of the FDCPA cannot logically serve as the basis for transforming a security interest enforcer into a debt collector. To hold otherwise would mean that it would be impossible to violate § 1692f(6)(B); any security interest enforcer who would be in violation of that part would be transformed into a "debt collector" no longer subject to this part of the FDCPA. Such an interpretation would render § 1692f(6)(B) superfluous and at odds with the majority's decision.[197] While this part of Justice Sotomayor's concurrence

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[190] *Id.* at 1041 (Sotomayor, J., concurring).

[191] *See id.* at 1040.

[192] *See* Hullett v. Plunkett Cooney P.C., No. 1:18-cv-1441, 2020 U.S. Dist. LEXIS 81067, at *10–11 (W.D. Mich. Mar. 16, 2020).

[193] *Obduskey*, 139 S. Ct. at 1041 (Sotomayor, J., concurring) (emphasis added).

[194] *Id.* (citation omitted).

[195] 15 U.S.C. § 1692f(6) (2018) (emphasis added).

[196] *Id.*

[197] *See Obduskey*, 139 S. Ct. at 1037.

echoes language from the Tenth Circuit's prior decision in this case,[198] it is important to note that the Tenth Circuit based this language on its conclusion that enforcing a security interest is not an attempt to collect money from a consumer and, therefore, not covered under *any* provision of the FDCPA.[199] This interpretation was explicitly rejected by the Supreme Court in its majority opinion.[200]

In their misinterpretations of *Obduskey*, these lower courts have failed to realize the absurdity in their reasoning. In order to hold a defendant liable for violations of the FDCPA, a court must first determine that the defendant is a debt collector subject to the FDCPA.[201] However, these lower courts have determined that a defendant is a debt collector simply because the plaintiff has alleged that it has violated a provision of the FDCPA.[202] This circular reasoning essentially eliminates any distinction between the primary definition and the limited purpose definition. Under *Obduskey*, a security interest enforcer is a debt collector *only* for the purposes of § 1692f(6).[203] However, these lower courts have decided that a security interest enforcer

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[198] Obduskey v. Wells Fargo, 879 F.3d 1216, 1222 (10th Cir. 2018) ("Had McCarthy attempted to induce Mr. Obduskey to pay money by threatening foreclosure, the FDCPA might apply.").

[199] *Id.* at 1220–21.

[200] *Obduskey*, 139 S. Ct. at 1036 ("[F]oreclosure is a means of collecting a debt. And a business pursuing nonjudicial foreclosures would, under the capacious language of the Act's primary definition, be one that 'regularly collects or attempts to collect, directly or indirectly, debts.'"); *see also infra* notes 215–220 and accompanying text.

[201] *See Obduskey*, 139 S. Ct. at 1033 ("The Fair Debt Collection Practices Act regulates 'debt collectors.'"); *see also* Ramos v. LVNV Funding, LLC, 379 F. Supp. 3d 437, 440 (E.D. Pa. 2019) ("To state a claim under the FDCPA, Plaintiffs must plausibly allege that (1) they are consumers, (2) the defendant is a debt collector, (3) the defendant's challenged practice . . . involves an attempt to collect a debt, and (4) the defendant violated a provision of the FDCPA in attempting to collect the debt.").

[202] *E.g.*, Cooke v. Carrington Mortg. Servs., No. TDC-18-0205, 2019 U.S. Dist. LEXIS 120248, at *6–7 (D. Md. July 18, 2019) ("Here, unlike in *Obduskey*, Carrington was not a law firm retained solely to execute a nonjudicial foreclosure. Cooke asserts FDCPA claims against Carrington for a variety of conduct beyond standard procedures in a nonjudicial foreclosure, including contradicting her right to dispute the debt, collecting or threatening to collect an inflated mortgage reinstatement amount, threatening to foreclose on her property before it was permitted by law, and misrepresenting its compliance with the terms of the deed of trust . . . . Therefore, *Obduskey* does not except Carrington from the full coverage of the FDCPA and thus does not provide a basis for dismissal of any of Cooke's FDCPA claims.").

[203] *Obduskey*, 139 S. Ct. at 1037.

who allegedly violates a provision of the FDCPA *other than* § 1692f(6)—to which they are not subject—then becomes a debt collector subject to that provision.[204] This is not only nonsensical but also contrary to *Obduskey* and the plain language of the FDCPA. As the Supreme Court stated, the FDCPA "exempts entities engaged in no more than the 'enforcement of security interests' from the lion's share of its prohibitions."[205] "States, however, can and do guard against such practices . . . Congress may think these state protections adequate, or it may choose to expand the reach of the FDCPA."[206] Rather than letting state governments or Congress enact broader protections against nonjudicial foreclosures, these lower courts have taken it upon themselves to ensure that security interest enforcers are subjected to the full weight of the FDCPA. In doing so, these courts have deliberately ignored the Supreme Court's direction in *Obduskey* and have exceeded their authority. These lower courts' failures to properly review both *Obduskey* and the FDCPA, combined with their failures to examine preceding district court decisions with a critical eye, has led to a mess of absurd and unworkable decisions regarding nonjudicial foreclosures following *Obduskey*.

In addition to these recent district court decisions regarding nonjudicial foreclosures, district courts have repeatedly held that judicial foreclosures are "debt collectors" subject to the entirety of the FDCPA.[207] However, the holding of *Obduskey* does not sufficiently justify this conclusion. As discussed above, courts have concluded that entities engaged in judicial foreclosures fall under the FDCPA's primary definition of debt collector due to the availability of deficiency judgments, a distinction that was highlighted in the Tenth Circuit's decision in *Obduskey v. Wells Fargo*.[208] In referencing this part of the Tenth Circuit's decision, the Supreme Court, and all the lower courts who have similarly relied upon this language, ignored the context of the Tenth Circuit's reasoning. The Tenth Circuit held that nonjudicial foreclosures were not subject to any part of the FDCPA because it determined that nonjudicial foreclosures are not attempts to collect money

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[204] *Id*. at 1035.

[205] *Id*. at 1040.

[206] *Id.*

[207] Obduskey v. Wells Fargo, 879 F.3d 1216, 1221 (10th Cir. 2018).

[208] *Id.* (noting that "judicial . . . foreclosures may be covered under the FDCPA because of the underlying deficiency judgment").

directly from the debtor.[209] Under the Tenth Circuit's reasoning, a judicial foreclosure would be subject to the FDCPA because the entity seeking the foreclosure is able to obtain a deficiency judgment, allowing the entity to collect money directly from the debtor.[210] This reasoning was explicitly rejected by the Supreme Court.[211] In fact, the Supreme Court stated that "if the FDCPA contained *only* the primary definition, a business engaged in nonjudicial foreclosure proceedings would qualify as a debt collector for all purposes."[212] Since the Supreme Court's decision was not based on a finding that a nonjudicial foreclosure does not seek to collect debt from the debtor, there is no reason that a deficiency judgment, which is also an attempt to collect debt from the debtor, should automatically remove judicial foreclosures from the limited purpose definition.

It is clear that the district courts have misinterpreted and misapplied *Obduskey* in several recent decisions. However, it is not too late for courts to course-correct and apply *Obduskey* in a way that is consistent with the Supreme Court's reasoning and the text and spirit of the FDCPA.

B. How to Course-Correct District Court Interpretation and Application of Obduskey

The circular reasoning promoted in the district courts is unsustainable and unworkable. Moving forward, district courts must start taking a holistic approach to its interpretation of *Obduskey*. *Obduskey*'s discussion of state nonjudicial foreclosure laws—that they do not exist in a vacuum—they must be read together with the rest of the Supreme Court's opinion and considered in context with the text and the purpose of the FDCPA. Specifically, district courts should (1) apply *Obduskey* to both judicial and nonjudicial foreclosures, (2) immediately stop finding that security interest enforcers who send a communication not required by law are no longer subject to the

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[209] *Id.* at 1221–22 ("[A] non-judicial foreclosure proceeding is not covered [by the FDCPA] because it only allows 'the trustee to obtain proceeds from the sale of the foreclosed property, and no more.'"). The Tenth Circuit also explicitly rejected the Supreme Court's eventual holding by finding that nonjudicial foreclosures do not fall under the limited purpose definition either. *See id.* at 1221.

[210] *See id.* at 1221–22.

[211] *See* Obduskey v. McCarthy & Holthus LLP, 139 S. Ct. 1029, 1036 (2019) ("We have explained that a home loan is an obligation to pay money, and the purpose of a mortgage is to secure that obligation. Foreclosure, in turn, is 'the process in which property securing a mortgage is sold to pay off the loan balance due.' In other words, foreclosure is a means of collecting a debt." (citations omitted)).

[212] *Id.*

limited purpose definition of the FDCPA, and (3) strictly limit the application of the transformation language from *Obduskey* to those entities who are not in engaged in a business the principal purpose of which is the enforcement of security interests.

First, district courts should stop treating judicial and nonjudicial foreclosures differently under *Obduskey*. As previously discussed, this disparate treatment is rooted in a distinction that serves no purpose after *Obduskey*. As the Supreme Court stated in *Obduskey*, a foreclosure is an attempt to collect a debt;[213] the fact that a deficiency judgment is available in a judicial foreclosure does not change this. Rather than focusing on the availability of the deficiency judgment, courts should refocus the inquiry on whether the principal purpose of the entity pursuing the judicial foreclosure is the enforcement of security interests. And an entity pursuing judicial foreclosure is undoubtedly principally focused on enforcing the security interest. Even if seeking a deficiency judgment is somehow separate and distinct from the enforcement of a security interest, the entity pursuing judicial foreclosure will only seek a deficiency judgment if the proceeds from the sale of the property are insufficient to extinguish the underlying debt. The principal purpose of pursuing a judicial foreclosure is to enforce the security interest through the sale of the property; the deficiency judgment is secondary.[214] Indeed, it is doubtful that a security interest enforcer's primary goal is to obtain a deficiency judgment given how difficult it will be to actually collect the judgment from a debtor who is clearly in dire financial straits.[215] Moreover, in states where common interest associations can pursue judicial foreclosures against homeowners who have defaulted on assessments, the amount sought by the association is often a small fraction of what the home will be sold for.[216] In these situations, while a deficiency judgment is available to the association by law, it is likely very seldom needed. Moreover, many states make deficiency judgments available in

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[213] *Id.*

[214] *Id.*

[215] *See* Justin Pritchard, *What You Need to Know About Deficiency Judgments*, BALANCE (Sept. 30, 2020), https://www.thebalance.com /deficiency-judgments-315547 [https://perma.cc/K8BR-2D2T] (noting that in many cases, seeking a deficiency judgment is not worth the effort for the lender and that borrowers who have just lost their home through foreclosure do not have the assets to pay a deficiency judgment).

[216] *See* Gemma Giantomasi, Comment, *A Balancing Act: The Foreclosure Power of Homeowners' Associations*, 72 FORDHAM L. REV. 2503, 2521–36 (2004).

nonjudicial foreclosure actions as well.[217] Colorado, the state in which the nonjudicial foreclosure at the center of *Obduskey* was initiated, is among those states that permit lenders to seek a deficiency judgment following a nonjudicial foreclosure.[218]

Second, courts should immediately stop following the precedent set by *Sevela* and its progeny. Specifically, sending a communication not required by state nonjudicial foreclosure law should not be sufficient to place a security interest enforcer into the primary definition of "debt collector" under the FDCPA. The interpretation of *Obduskey* set forth in these district court cases finds no support in the language of *Obduskey* or the FDCPA and should therefore be rejected.[219] This approach should also be rejected on practical grounds. Nonjudicial foreclosures are favored in many states because they do not require judicial oversight and the process can generally be completed in six months or less.[220] State nonjudicial foreclosure laws require varying degrees of notice to the debtor—some states require personal service of the notice of sale on the debtor while others require only that the notice of sale be posted on the property and published in a local publication for a few weeks before the sale.[221] In many states, lenders are also not required to inform debtors that they have the right to cure in order to avoid foreclosure.[222] Accordingly, lenders may choose, or be contractually required, to send debtors additional communications to provide debtors additional notice or make them aware of their right to pay the full amount of the debt to avoid foreclosure. Requiring that lenders strictly adhere to state nonjudicial foreclosure laws to avoid FDCPA liability—even in cases where the lender may be contractually required to provide the debtor with additional notices—will turn an already harsh nonjudicial foreclosure process into an even harsher one. If one of the goals of the FDCPA is consumer protection, it seems antithetical to that purpose to penalize lenders who provide debtors with additional opportunities to save their homes from foreclosure. The only reasons that a communication not required by state law should remove a security interest enforcer from the limited purpose

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[217] *See, e.g.*, NAT'L CONSUMER LAW CTR., FORECLOSURE REPORT: SURVEY OF STATE FORECLOSURE LAWS (2008); *Anti-Deficiency Laws*, ALLLAW, https://www.alllaw.com/articles/nolo/foreclosure/anti-deficiency-laws.html [https://perma.cc/4MS6-W64D].

[218] *See Anti-Deficiency Laws*, *supra* note 217.

[219] *See supra* Section V.A.

[220] Grant S. Nelson & Dale A. Whitman, *Reforming Foreclosure: The Uniform Nonjudicial Foreclosure Act*, 53 DUKE L.J. 1399, 1403–04 (2004).

[221] *See id.*; *see also* NAT'L CONSUMER LAW CTR., *supra* note 217.

[222] Nelson & Whitman, *supra* note 220, at 1447.

definition is if that communication either violates § 1692f(6) or if it provides a basis for the court to conclude that the entity's principal business is not the enforcement of security interests.

Finally, courts must seriously reconsider whether to continue applying the transformation theory suggested in *Obduskey* and seized upon by several district courts. As discussed above, this theory relies on circular reasoning that ignores both the text of *Obduskey* and the FDCPA.[223] A security interest enforcer who is not subject to liability under any section of the FDCPA except § 1692f(6) should not suddenly find itself subject to the entire FDCPA based on allegations by a debtor that it has violated another section of the FDCPA. Such an interpretation would obviate the purpose of the limited purpose definition. As the Supreme Court stated in *Obduskey*, if Congress or the states want to subject security interest enforcers to additional restrictions, they are free to amend their current laws to do so.[224] Until then, there is no basis in the FDCPA to support the transformation theory currently espoused by the district courts. Any transformation inquiry should focus on the distinction between the primary and limited purpose definitions—the principal purpose of each business. Put simply, in order to transform a security interest enforcer into a debt collector, a court must determine that the security interest enforcer is actually not a business the principal purpose of which is the enforcement of security interests. This would be a highly fact-specific inquiry that would have to be decided on a case-by-case basis. That such an entity allegedly engages in abusive practices prohibited by other sections of the FDCPA may be a factor to consider but should not be the determinative factor since a security interest enforcer is not subject to those provisions in the first place. For example, transformation under this approach might be warranted where a lender represents to a debtor that it has initiated a nonjudicial foreclosure against a debtor and engages in abusive debt collection practices in order to threaten the debtor into paying an increased loan amount without taking any of the steps required by law to actually initiate a nonjudicial foreclosure, such as recording a notice of default. Under this approach, it would be incumbent upon the court to ensure that it does not simply resort to the same unworkable transformation theory currently used by district courts.

The foregoing suggestions would greatly reduce the confusion surrounding *Obduskey* and its varying applications to judicial and nonjudicial foreclosures as well as prevent the unintentionally harsh results of recent district court decisions.

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[223] *See supra* Section V.A

[224] Obduskey v. McCarthy & Holthus LLP, 139 S. Ct. 1029, 1040 (2019).

VI. CONCLUSION

As the United States faces another foreclosure crisis,[225] courts will be faced with an increasing amount of cases brought under the FDCPA. Therefore, it is imperative that courts reexamine the way that the FDCPA is applied to nonjudicial foreclosures in the wake of *Obduskey*. The current interpretation espoused by several district courts is unworkable and will lead to absurd and harsh results. Lenders should be able to contractually bind themselves to provide additional notices and communications without unwittingly subjecting themselves to the full force of the FDCPA. Courts must closely examine the language of *Obduskey* and the FDCPA and apply the law as currently written. It is up to the state and federal governments to step in if they believe that security interest enforcers should be subject to the same types of restrictions as debt collectors. Given the widespread economic devastation wrought by the unexpected arrival of COVID-19 and its disparate impact on communities of color, legislatures should consider acting sooner rather than later to protect consumers from abusive debt collection practices and the unexpectedly harsh ramifications of district court interpretations of *Obduskey*.

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[225] *See* Bob Hennelly, *An Eviction and Foreclosure Crisis is Looming*, SALON (July 19, 2020, 2:00 PM), https://www.salon.com/2020/07/19/an-eviction-and-foreclosure-crisis-is-looming/ [https://perma.cc/3XQ6-2WLD].